Unit II: Planning and Organizing (6 Hrs.)

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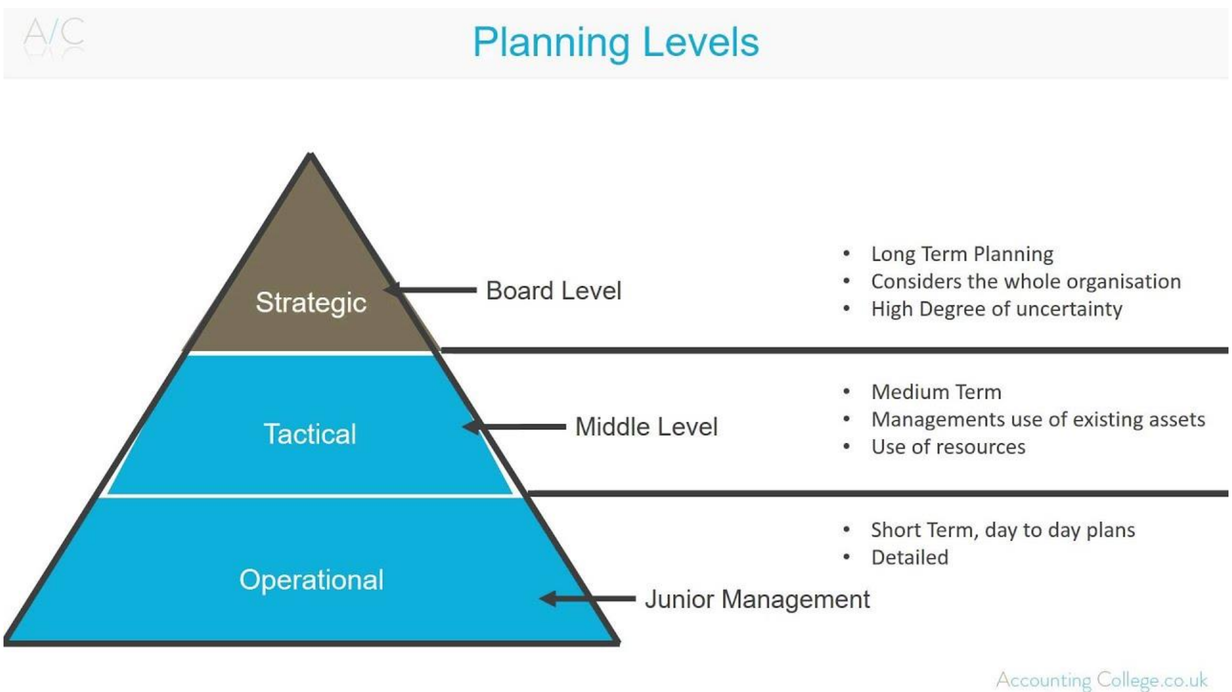
2.1 Planning

Planning is the process of thinking about and organizing activities to achieve a goal. It involves setting objectives, identifying tasks, and allocating resources.

What is the purpose of planning?

- Planning helps people and organizations make effective decisions
- It helps people and organizations use resources efficiently
- It helps people and organizations prevent mistakes and deviations
- It helps people and organizations measure their performance

2.1.1 Levels of planning: strategic, tactical and operational



Levels of Planning:

The three main levels of planning are strategic, tactical, and operational. These levels work together to help an organization achieve success in the short, medium, and long term.

Strategic planning

- High-level planning that involves setting long-term goals and determining how to achieve them
- Involves creating a company's vision and mission
- Typically done by top-level managers

Tactical planning

- Involves developing the tactics to execute the strategic plan
- Translates the strategic plan into specific actions

Operational planning

- Involves ensuring that daily activities are carried out efficiently
- Comes between strategic and tactical planning

Other types of planning:

Contingency planning

- Involves developing alternative courses of action for unusual or crisis situations

Workforce planning

- Involves analyzing, forecasting, and planning for the future of a company's personnel

Project planning

- Involves developing a plan for completing a project within a specific time frame

Succession planning

- Involves identifying and developing key talent to ensure the continuity of critical roles

2.1.2 Steps in planning

The steps in the planning process are:

1. **Set objectives**: Define the goals that you want to achieve
2. **Identify alternatives**: Consider all the options that could help you achieve your goals
3. **Develop tasks**: Create a list of the actions you need to take to achieve your goals
4. **Determine resources**: Decide what resources you need to complete your tasks
5. **Create a timeline**: Decide when you need to complete each task
6. **Choose a tracking method**: Decide how you will measure your progress
7. **Finalize the plan**: Put all the pieces together into a single plan
8. **Distribute the plan**: Share the plan with everyone involved in the planning process

"Planning is a fundamental part of management. It helps organizations use their resources efficiently and navigate uncertainty."

2.1.3 Tools for planning

- Planning tools in management help organize tasks, manage projects, and allocate resources.

Some examples of planning tools include:

ClickUp

- A project management tool that helps teams prioritize tasks and organize strategic plans

Asana

- A project management platform that offers visual tools like Kanban boards, timelines, and Gantt charts

Prioritization matrices

- A tool that ranks options by importance using weighted criteria

Jira

- A tool for planning, tracking, and releasing software projects

Matrix data analysis

- A prioritization matrix that helps simplify decision-making by comparing options against a set of criteria

Reports

- A tool that allows users to create project progress reports, analyze data, and evaluate performance

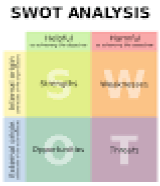
Trello

A project management tool that uses boards to manage projects and tasks
When choosing a planning tool, you can consider things like:

- Task and activity management
- Timelines and Kanban boards
- Resource allocation
- Collaboration and communication
- Document management
- Scheduling

Strategic planning tools & techniques:

Meistertask.com: A tool that helps you break down large tasks into smaller steps, assign them to team members, and set deadlines

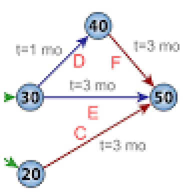


SWOT analysis

- Helps identify strengths, weaknesses, opportunities, and threats. This analysis can help create a plan that takes advantage of strengths and minimizes weaknesses.

Balanced scorecard

- A strategic planning tool that focuses on both financial and operational factors. This tool can help provide a holistic view of a business.

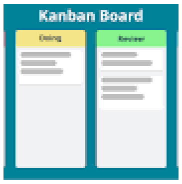


Critical path analysis

- Helps determine the sequence of tasks, prioritize tasks, and identify which tasks can run in parallel. This analysis can help find the most efficient path through a project.

Gantt charts

- A visual representation of a project's schedule. This tool can help project managers see how tasks are interdependent and how delays in one task can impact the project timeline.



Kanban

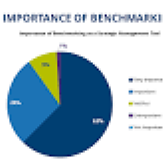
- A project management method that emphasizes continuous delivery. This tool can be useful when tasks vary in priority and complexity.

PEST analysis

- A strategic planning framework that helps analyze external factors that could impact business goals. These factors include political, economic, sociocultural, and technological factors.

SMART goals

- A tool that helps define desired outcomes and indicators of success. SMART goals are specific, measurable, achievable, relevant, and time-bound.



Benchmarking

- A comparative approach to strategy that involves comparing a company's strengths and weaknesses to a close competitor.

Brainstorming

- A creative process that encourages random and lateral thinking. This tool can be useful in all areas of business, including project planning.

2.1.4 Importance of planning

Planning is important because it helps people and organizations achieve their goals, reduce uncertainty, and make better decisions.

Why planning is important

- **Provides direction**

  Planning helps people and organizations know what to do and how to achieve their goals.

- **Reduces uncertainty**

  Planning helps people and organizations anticipate problems and find solutions before they arise.

- **Facilitates decision making**

  Planning helps people and organizations make better decisions by looking into the future and considering multiple options.

- **Promotes innovation**

  Planning helps people and organizations brainstorm creative ideas and solutions to challenges.

- **Increases efficiency**
  Planning helps people and organizations reduce risks and increase efficiency.

How planning works

- The planning process starts by identifying goals.
- The planning process considers internal and external conditions that may affect the organization.
- The planning process helps people and organizations determine a future course of action.

Types of Planning:

- **Strategic planning**: Involves setting long-term goals and objectives for the organization.
- **Tactical planning**: Involves translating strategic goals into specific plans for specific parts of the organization.
- **Operational planning**: Involves identifying specific procedures and processes required at lower levels of the organization.

Benefits of planning

- **Reduces risk**

  Planning helps managers anticipate future events and trends, and develop strategies to mitigate potential risks.
- **Improves efficiency**

  Planning helps organizations use resources like time, money, and manpower more efficiently.
- **Helps organizations grow**

  Planning helps businesses create goals and action plans to grow, such as increasing sales or reducing expenses.
- **Provides direction**

  Planning helps ensure that all activities are aligned with the organization's goals and mission.

- **Facilitates coordination**

  Planning helps ensure that all efforts are focused on achieving a common objective.

- **Encourages innovation**
  Planning can help managers develop new approaches to achieve their goals.

2.2 Organizing

Organizing in management is the process of assigning tasks and resources to achieve a company's goals. It's the second step in the management process, following planning.

What does organizing in management involve?

- **Assigning tasks**: Managers assign tasks to employees, and group tasks into departments
- **Allocating resources**: Managers distribute company assets, such as financial, human, and technological resources
- **Delegating authority**: Managers define and delegate authority and responsibility to employees
- **Establishing relationships**: Managers create productive relationships between activities and resources
- **Creating a structure**: Managers establish a structure for the company's jobs, people, departments, and activities

Why is organizing important?

- Organizing helps employees work together more effectively
- It helps companies use resources more efficiently
- It helps companies achieve their goals

Some principles of organizing

- **Unity of command**: Subordinates should receive orders from a single superior
- **Span of control**: The number of employees under the direct supervision of a superior
- **Flexibility**: The organizational structure should be flexible enough to adapt to environmental changes
- **Simplicity**: The organizational structure should be simple and easy to understand

Organizing in EM:

"Organizing" in engineering management refers to ***the process of structuring a team or project by defining roles, assigning tasks, delegating authority, and coordinating activities to effectively achieve engineering goals,*** essentially creating a framework to utilize resources and personnel efficiently to complete a project or reach organizational objectives; it involves identifying necessary activities, grouping them logically, and assigning responsibility for each part within the team.

Key aspects of organizing in engineering management:

- **Division of Labor:**

  Breaking down complex tasks into smaller, manageable units and assigning them to individuals based on their skills and expertise.
- **Departmentalization:**

  Grouping related activities or tasks into distinct departments or teams to streamline operations and improve coordination.
- **Delegation of Authority:**

  Assigning decision-making power to appropriate team members based on their roles and responsibilities.
- **Span of Control:**

  Determining the optimal number of direct reports a manager can effectively supervise.
- **Coordination:**
  Ensuring all team members are aware of their tasks and how they contribute to the overall project goals, facilitating communication and collaboration.

Organizational Structures in Engineering Management:

- **Functional Structure:**

  Organizing teams based on specialized skills (e.g., design, manufacturing, testing)

- **Project-Based Structure:**

  Creating temporary teams dedicated to specific projects with cross-functional members

- **Matrix Structure:**
  Combining elements of functional and project structures, where team members report to both a functional manager and a project manager

Importance of Organizing in Engineering Management:

- **Efficiency:**

  By clearly defining roles and responsibilities, teams can work more effectively and avoid duplication of effort.

- **Communication:**

  A well-organized structure facilitates clear communication channels between team members and stakeholders.

- **Accountability:**

  Establishing clear ownership for tasks and decisions enhances accountability within the team.

- **Adaptability:**
  A flexible organizational structure can adapt to changing project requirements or market conditions.

How to Organize in Engineering Management:

- **Identify project goals and objectives:** Clearly define what needs to be achieved.
- **Analyze project scope:** Break down the project into manageable tasks and phases.
- **Identify required skills and resources:** Determine the personnel and tools needed to complete the project.
- **Assign roles and responsibilities:** Match tasks to individuals based on their expertise and availability.
- **Establish communication channels:** Define how information will be shared and decision-making processes.
- **Monitor progress and make adjustments:** Regularly review project status and adapt the organization as needed.

2.2.1 Process of organizing

- **The process of "organizing" in management involves identifying and dividing work into manageable tasks, grouping related tasks into departments (departmentalization), assigning responsibilities to individuals based on their skills, establishing a clear hierarchy of authority, and coordinating**
- **All activities should be done to effectively achieve organizational goals; essentially creating a structured framework for people, jobs, and departments within a company to work towards a common objective.**

Key steps in the organizing process:

- **Identify and Divide Work:**

  Break down the overall organizational objectives into smaller, manageable tasks.

- **Departmentalization:**

  Group similar tasks together to form departments based on function, product, geography, or customer type.

- **Job Design and Assignment:**

  Define roles and responsibilities for each position within a department and assign tasks to suitable employees.

- **Establishing Hierarchy:**

  Create a clear reporting structure, outlining who reports to whom within the organization.

- **Delegation of Authority:**

  Granting necessary decision-making power to employees at different levels within the hierarchy.

- **Coordination:**
  Ensuring all departments and individuals work together effectively towards shared goals.

Important aspects of organizing:

- **Span of Control:** The number of subordinates a manager can effectively supervise.
- **Centralization vs. Decentralization:** The degree to which decision-making authority is concentrated at the top levels of management versus distributed throughout the organization.
- **Organizational Structure:** The formal framework that defines how different parts of the organization relate to each other, including the levels of hierarchy, lines of communication, and power dynamics.

2.2.2 Organization structure

An "organizational structure" in management refers to the way a company or team is set up, defining how different roles and departments are organized, reporting relationships, and levels of authority within the organization, which can be hierarchical with multiple management levels or flatter with less hierarchy depending on the structure chosen; common types include functional, divisional, and matrix structures.

Key points about organizational structure:

- **Purpose:**

  To efficiently coordinate activities and achieve organizational goals by clearly defining roles, responsibilities, and communication channels within a company.

- **Key elements:**
  - **Hierarchy:** Levels of management, with higher levels having authority over lower levels.
  - **Departmentalization:** Grouping employees based on similar functions, products, or geographic regions.
  - **Span of control:** The number of employees a manager directly supervises.

Factors to consider when choosing an organizational structure:

- **Company size:** Larger companies often require more complex structures.
- **Industry dynamics:** Certain industries may benefit from more flexible structures.
- **Company culture:** The desired level of autonomy and collaboration can influence the structure.

2.2.3 Types of organization structure

Types of Organization Structure

There are various types of organizational structures that an organization can adopt, each with its advantages and characteristics.

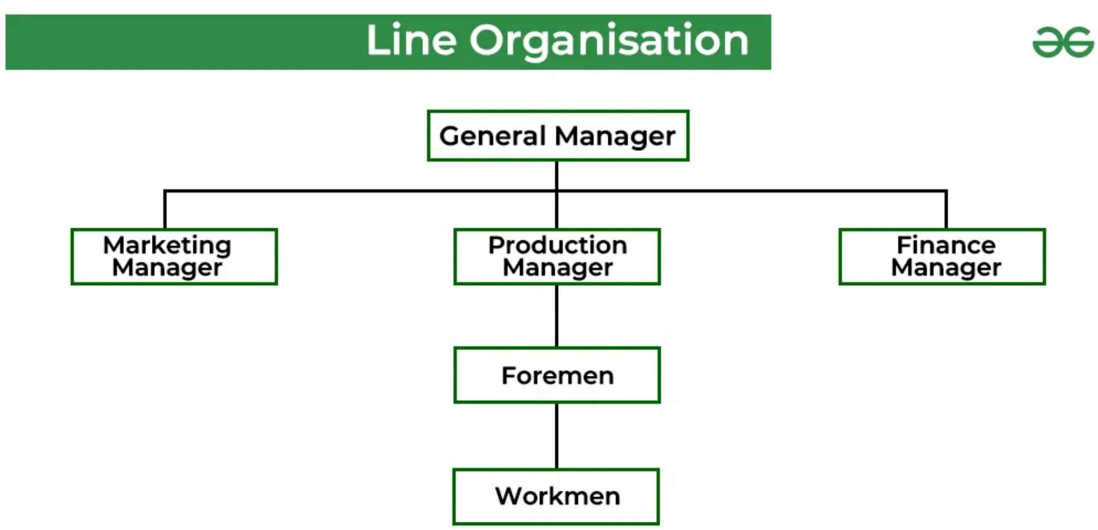
The six main types of organization structure are given below:

1. Line Organization
2. Functional Organization
3. Line and Staff Organization
4. Project Organization
5. Matrix Organization
6. Committee Organization

2.2.2.1 Traditional structure:

1. **Line Organization and**
2. **Functional Organization**

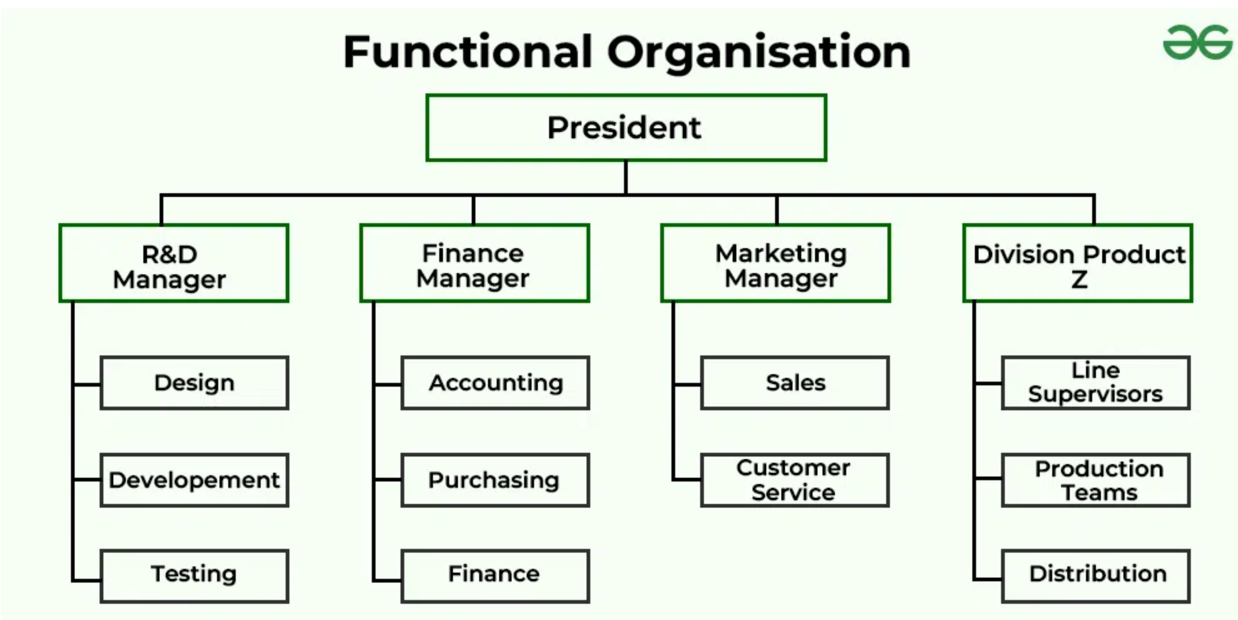
1. Line Organization



- Line organisation, also known as a **scalar or military organisation**, is the simplest and **oldest form of organisational structure.**

- **It is characterised by a clear and direct chain of command**, where authority flows vertically from top to bottom.
- Each employee has a single supervisor to whom they report, creating a clear line of responsibility and accountability.
- Decision-making is typically centralised at the top of the hierarchy, with limited delegation.
- **This structure is suitable for small organisations** with a straightforward hierarchy, where decision-making needs to be efficient and communication is direct.
- However, **it can lead to delays in decision-making** as all decisions must pass through the hierarchy, and communication can be limited to the immediate supervisor.

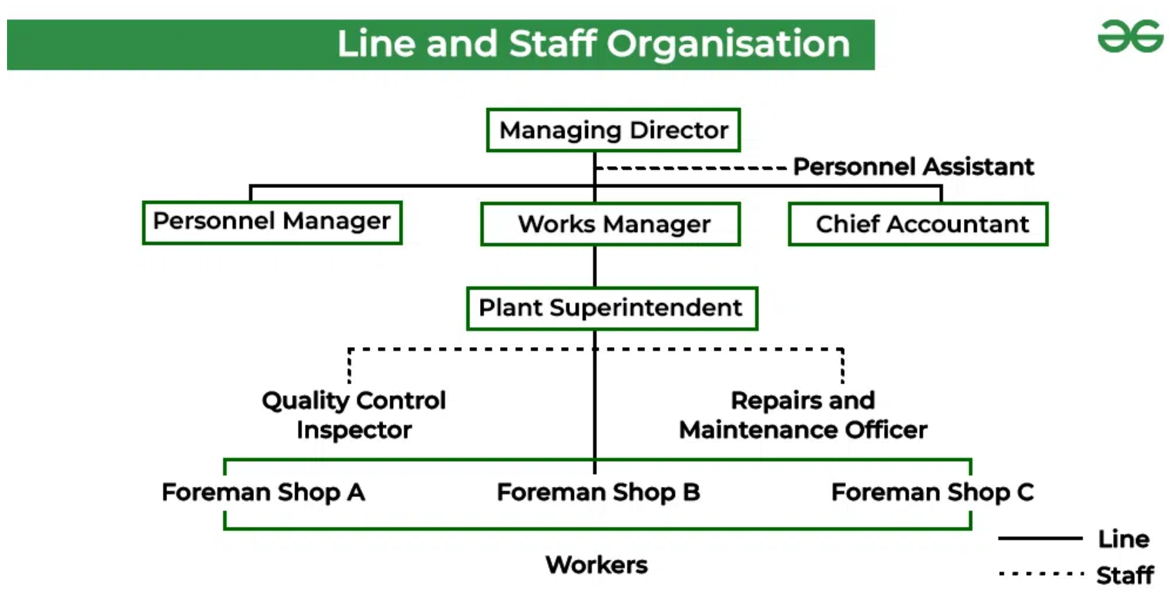
2. Functional Organization



- Functional organisation is a common structure where departments are organised **based on specialised functions or tasks.**
- **For example, there might be separate departments for marketing, finance, operations, human resources, and so on.**
- Each department is headed by a functional manager who has expertise in that particular area.
- This structure allows for the efficient utilisation of specialised skills and knowledge, as employees within each department can focus on their areas of expertise.
- It also enables clear career paths within each function. Specialists operate here with considerable independence.
- **However, communication and collaboration between departments may be limited. Coordination across functions can also be challenging.**

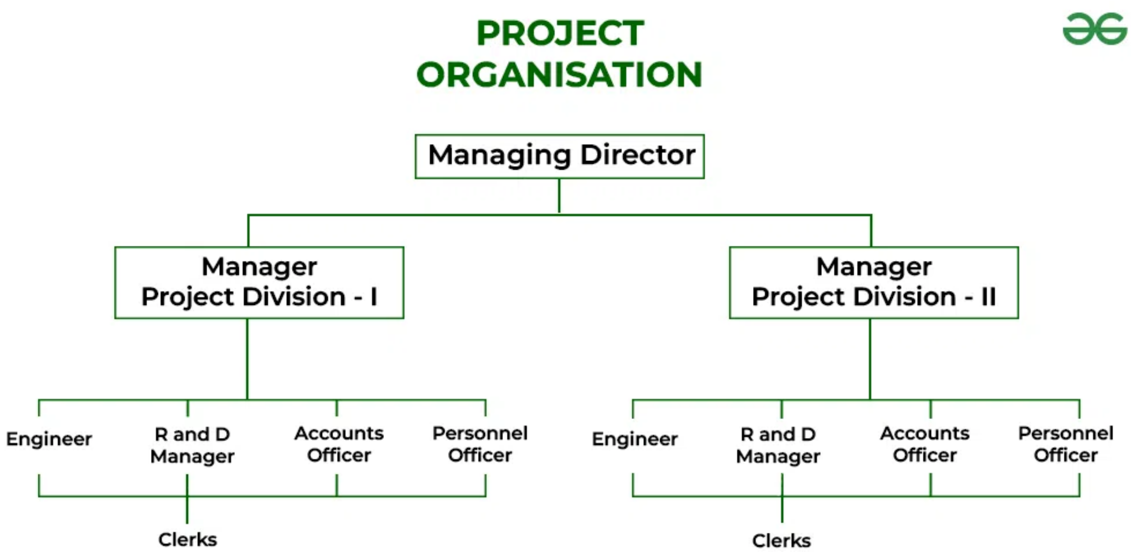
Other Types:

3. Line and Staff Organization



- In a line and staff organisation structure, **line positions focus on core operations, while staff positions provide specialised support and guidance.**
- Staff roles, like human resources or legal, offer expertise and **advice** to **line managers.**
- This structure balances operational responsibilities with specialised support, enabling better decision-making and problem-solving.
- Specialists in such organisations have advisory nature as they do not have the power of command over subordinates in other departments. However, clarifying roles and coordination between line and staff functions is important to avoid conflicts. This can also lead to confusion and can be quite expensive for small firms.

4. Project Organization



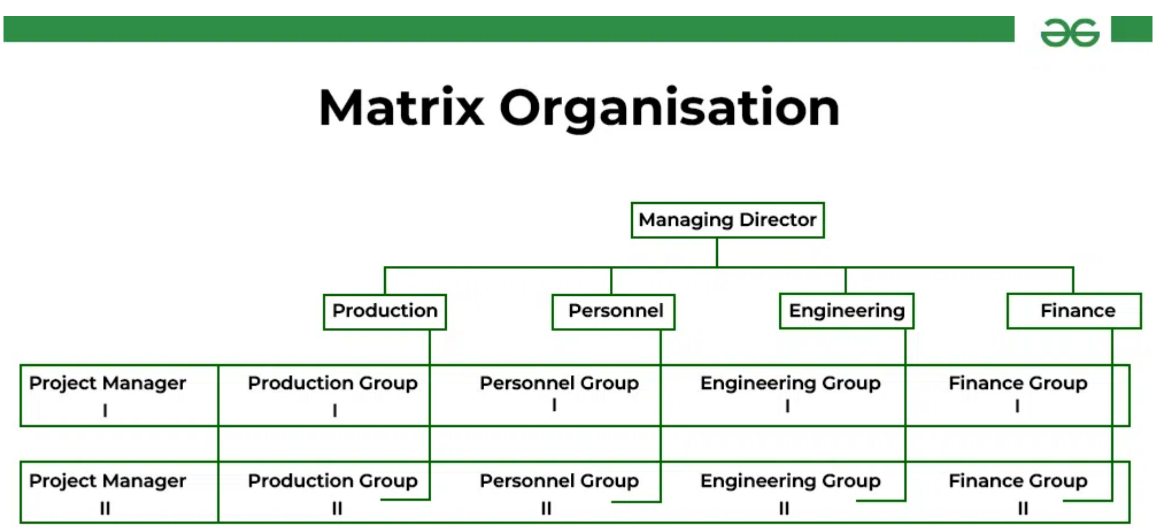
- A project organisation is a **temporary structure** formed specifically for a particular project or initiative.
- It is characterised by a project team that is assembled to achieve specific goals within a defined timeframe.
- The project team is led by a project manager who has authority over team members and resources.

- This structure allows for a dedicated and focused approach to project management, with team members working together to accomplish project objectives.
- It facilitates effective coordination, communication, and collaboration within the project team.
- Once the project is completed, the team is disbanded. Project organisation is particularly useful when organisations need to manage complex, time-limited projects that require cross-functional collaboration and a dedicated team focus.
- In a Project organisation, unity of command is followed.

Modern Structure:

- **Matrix Organization,**
- **Network Organization and**
- **Hybrid Organization**

Matrix Organization

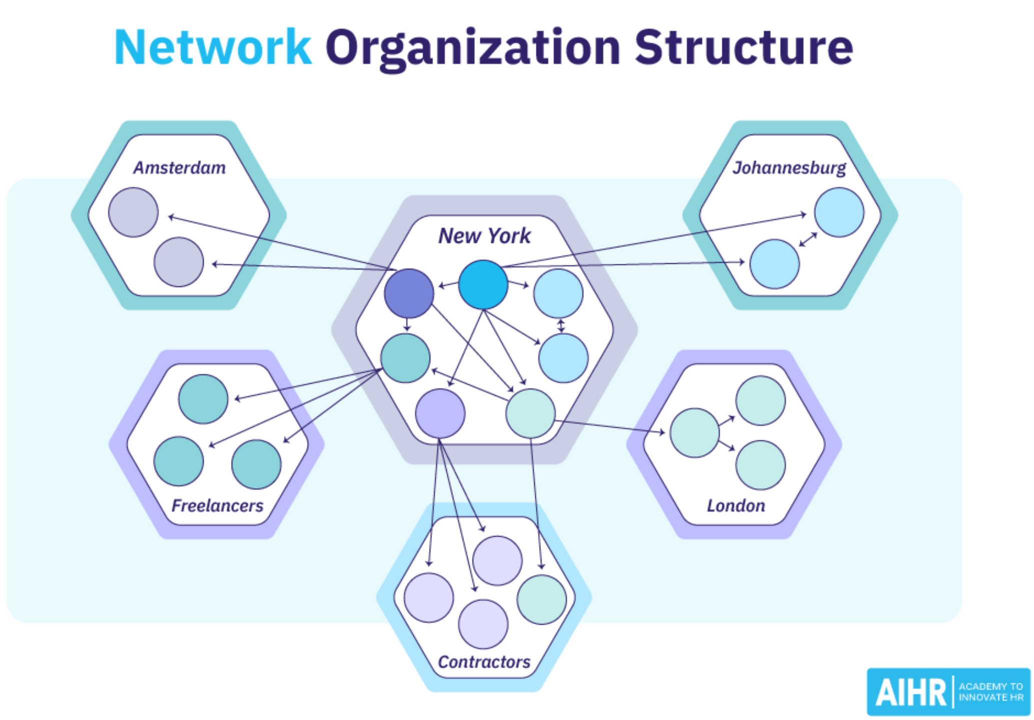


- A **hybrid grid structure (project org. and functional org.)** wherein pure project organization is **superimposed on** a functional structure is known as Matrix Organization.
- **It combines elements of both functional and project structures.**

- It involves dual reporting lines, where employees have **both a functional manager and a project manager.**
- The **functional manager** oversees employees' **functional responsibilities,** while the **project manager** manages their involvement in **specific projects.**
- This structure allows for flexible resource allocation, as employees can be assigned to **different projects based on their skills and availability.**
- There is always a permanent functional setup and temporary cross-functional teams are created to handle short-term projects, which are infrequent in nature.

It also promotes effective sharing of expertise and knowledge across projects and functional areas. Communication is typically multi-directional, as employees interact with both their functional and project managers. However, a matrix organization can be complex to manage, as employees have multiple reporting relationships, and conflicts can arise due to competing priorities and demands from different managers.

Network Organization:



“A network organizational structure is a decentralized business structure where employees work in teams to achieve common goals. In this structure, employees collaborate across departments to solve problems and meet customer needs.”

How it works

- **Group by specialization**: Employees are grouped into teams based on their skills.
- **Collaborate on projects**: Employees from different teams work together on projects.
- **Create ad-hoc teams**: Teams are formed to solve problems or tasks as they arise.
- **Focus on core competencies**: Each team focuses on what they do best to deliver the best products or services.
- **Avoid rigid workflows**: Organizations don't have strict templates for workflows and reporting relationships.

Benefits

- **Flexibility**: Organizations can change production techniques, quantity, or product designs without major problems.
- **Lower costs**: Organizations can outsource business functions and receive better quality service.
- **Focus on core competencies**: Organizations can deliver their best products or services.

Examples

- Network organizational structures are common in global and multi-national organizations, telecommunications, and the FMCG sector.

Hybrid Organization:

A hybrid organizational structure is a business model that combines elements from different types of organizational structures. The goal is to create a flexible structure that takes advantage of the strengths of each structure while reducing their weaknesses.

How it works

- **Combines structures**: A hybrid structure combines elements of hierarchical, flat, matrix, and project-based structures.
- **Prioritizes teamwork**: A hybrid structure encourages cross-functional collaboration and teamwork.
- **Improves resource allocation**: A hybrid structure allows for better resource allocation and communication across departments.
- **Creates flexibility**: A hybrid structure allows for more flexibility and adaptability.

Benefits

- **Better communication**: A hybrid structure can improve communication across departments.
- **Better resource allocation**: A hybrid structure can allow for better resource allocation.
- **More flexibility**: A hybrid structure can create more flexibility and adaptability.

- **Employees can learn from each other**: A hybrid structure allows employees with different roles to learn from each other.

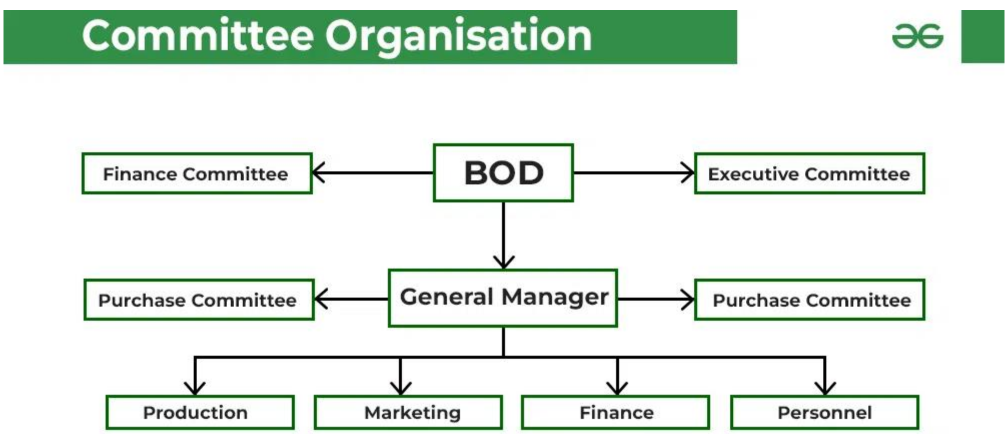
Examples

- A real-life example of a hybrid organizational structure is **Google**, which blends functional departments like engineering and marketing with project-based teams for specific products.
- This structure allows Google to innovate quickly while maintaining efficient operations.

Tips for implementation Define roles clearly, Create flexible policies, Train leaders to manage hybrid teams, and Use technology to facilitate communication.

Other Organization Structures:

Committee Organization



- **The committee organization structure distributes decision-making and authority across committees or groups.**
- These committees are formed **to address specific areas or functions** within the organisation, bringing together individuals from different departments and levels.
- **Decisions are made collectively** through discussions and consensus-building, ensuring diverse perspectives and expertise are considered.
- The scope of its activities is limited and it cannot handle problems assigned to it.

- **According to Allen,"** A committee is a body of persons appointed or elected to meet on an organised basis for the consideration of matters brought before it."
- **Committee organisation promotes collaboration and participation in decision-making processes. It gives secure viewpoints and consultations of various persons in the organization.**

Comparisons of different types of organization structures:

Different organizational structures include hierarchical (traditional pyramid), functional (based on specialized roles), divisional (divided by product/market), matrix (cross-functional teams), network (outsourced functions), team-based (autonomous teams), and flat (decentralized with few management levels), with each offering unique advantages and disadvantages depending on the company's needs and goals; hierarchical structures provide clear authority lines while functional structures optimize expertise within specific departments, while divisional structures allow for focused market strategies and team-based structures foster collaboration and innovation.

Key Comparisons:

- **Hierarchical Structure:**
    - **Key Feature:** Clear chain of command with multiple levels of authority, typically represented as a pyramid structure.
    - **Pros:** Well-defined roles, easy decision-making, strong control.
    - **Cons:** May stifle creativity, slow communication between levels, potential for micromanagement.
- **Functional Structure:**
    - **Key Feature:** Departments organized based on specialized functions like marketing, finance, operations.
    - **Pros:** Deep expertise within departments, efficiency in specialized tasks.
    - **Cons:** Potential for poor cross-functional coordination, siloed thinking.
- **Divisional Structure:**
    - **Key Feature:** Company divided into semi-autonomous divisions based on product lines, markets, or geographic regions.
    - **Pros:** Tailored strategies for specific markets, faster response to local needs.

- **Cons:** Possible duplication of functions across divisions, potential for internal competition.

- **Matrix Structure:**
  - **Key Feature:** Employees report to both functional managers and project managers, creating cross-functional teams.
  - **Pros:** Flexibility, good for complex projects requiring diverse expertise.
  - **Cons:** Potential for conflicting priorities, complex reporting relationships.
- **Network Structure:**
  - **Key Feature:** Outsourced functions to external partners, creating a network of interdependent entities.
  - **Pros:** Access to specialized skills, scalability, cost-efficiency.
  - **Cons:** Less control over external partners, potential coordination challenges.
- **Team-Based Structure:**
  - **Key Feature:** Employees organized into self-managing teams with high autonomy to achieve specific goals.
  - **Pros:** Fosters collaboration, innovation, and employee empowerment.
  - **Cons:** Requires strong team dynamics, potential for uneven workload distribution.
- **Flat Structure:**
  - **Key Feature:** Few hierarchical levels, with decentralized decision-making and increased employee autonomy.
  - **Pros:** Faster communication, increased employee engagement.
    - **Cons:** May lack clear leadership structure, potential for confusion in decision-making.

Choosing the Right Structure:

The best organizational structure depends on the company's size, industry, goals, and culture. Consider factors like the need for specialization, flexibility, innovation, and rapid decision-making when selecting the most suitable structure.

OR

Basic Elements of Organizational Structure Design

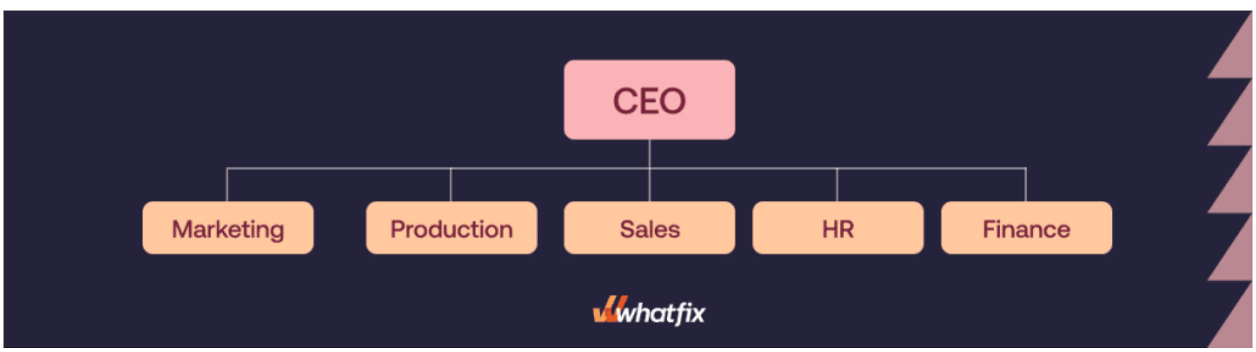
An organizational structure is based on a range of elements, including:

- Work specialization
- Departmentation
- Chain of command
- Span of control
- Centralization/Decentralization
- Formalization

7 Types of Organizational Structures

- The key purpose of any organizational structure is to make decision-making processes straightforward and provide clear definitions for roles and responsibilities. However, there are many ways to achieve that.

1. Functional structure



- A functional structure groups employees into different departments by work specialization.
- Each department has a designated leader highly experienced in the job functions of each employee supervised by them.

Best For: Companies that require a high degree of specialization and efficiency within each department, like manufacturing firms.

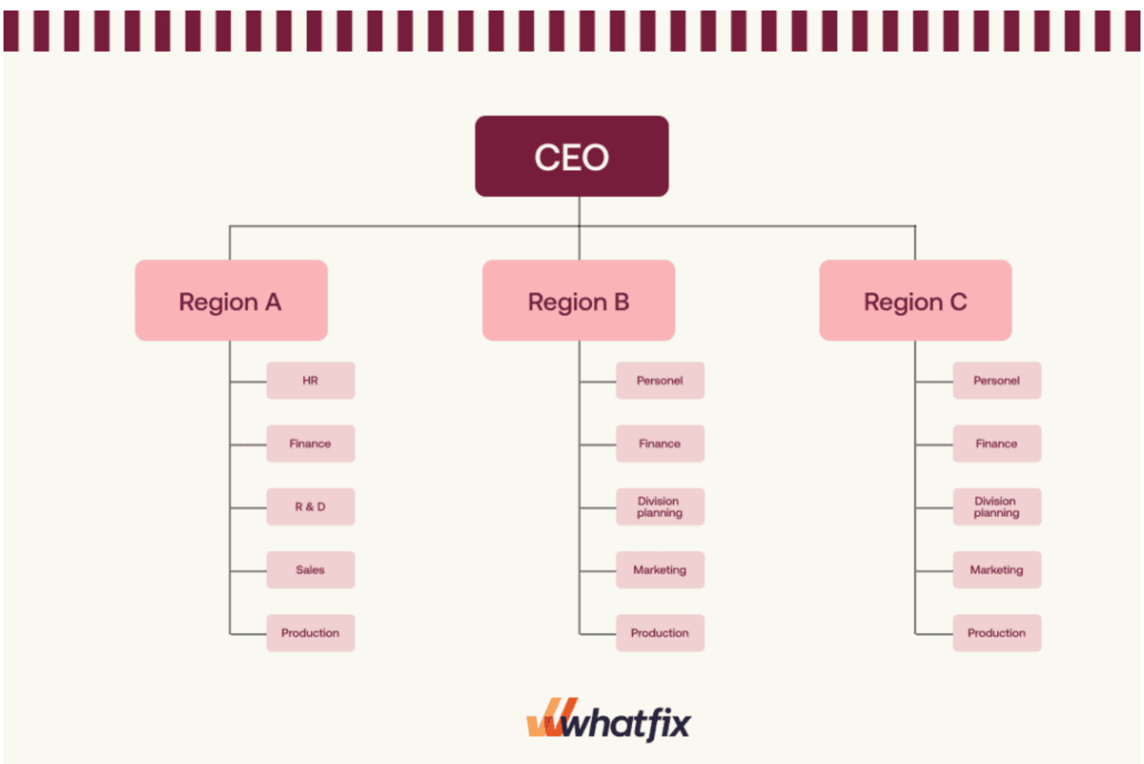
Pros of a functional organizational structure:

- Scalable.
- Operational efficiency.
- Encourages employees to specialize their skillsets.
- Empower employees to focus on their specific roles and responsibilities.
- Empowers teams and departments with clear, specific goals that they can work towards.

Cons of a functional org structure:

- Leads to poor cross-department communication.
- Builds silos.
- Creates obscure roles, processes, and workflows that are company or industry-specific.

2. Divisional structure



- In a divisional organizational structure, the company is divided into different business units that have complete control of their budget, resources, and strategy – essentially acting as an independent company.
- Each division can have its own dedicated marketing, sales, product, and IT teams.

Best for: large enterprises that operate in multiple markets, such as multinational companies or conglomerates, as it allows each division to focus on its specific market or product line.

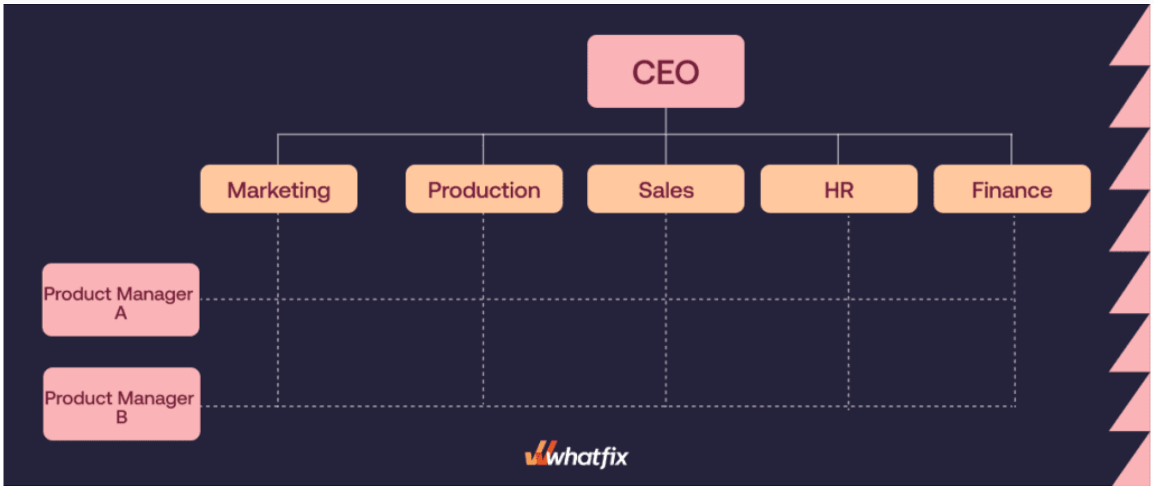
Pros of a divisional organizational structure:

- Understand individual markets, sectors, and products better.
- Promotes flexibility.
- Faster responses to changes or needs that are locality or regional-based.
- Autonomous approaches lead to team experimentation and allow organizations to test multiple strategies, driving innovation.

Cons of a divisional structure:

- Can result in duplication efforts like multiple applications that do the same thing.
- Siloed teams and data with poor knowledge transfer.
- Poor documentation.
- Lack of organizational communication.
- Departments compete against one another.
- Lack of hierarchy understanding

3. Matrix structure



- Within a matrix organizational structure, team members report to several managers at once.
- Having multiple supervisors allows for company-wide interaction and faster project delivery.
- **For instance**, when answering to functional managers and project managers, employees have a chance to collect experience outside their team. While functional managers can help to solve job-specific issues, project managers can bring in knowledge or talents from other departments.

Best For: Organizations that need to balance the benefits of functional and divisional structures, like project-based companies, consulting firms, or companies involved in complex projects requiring cross-functional collaboration.

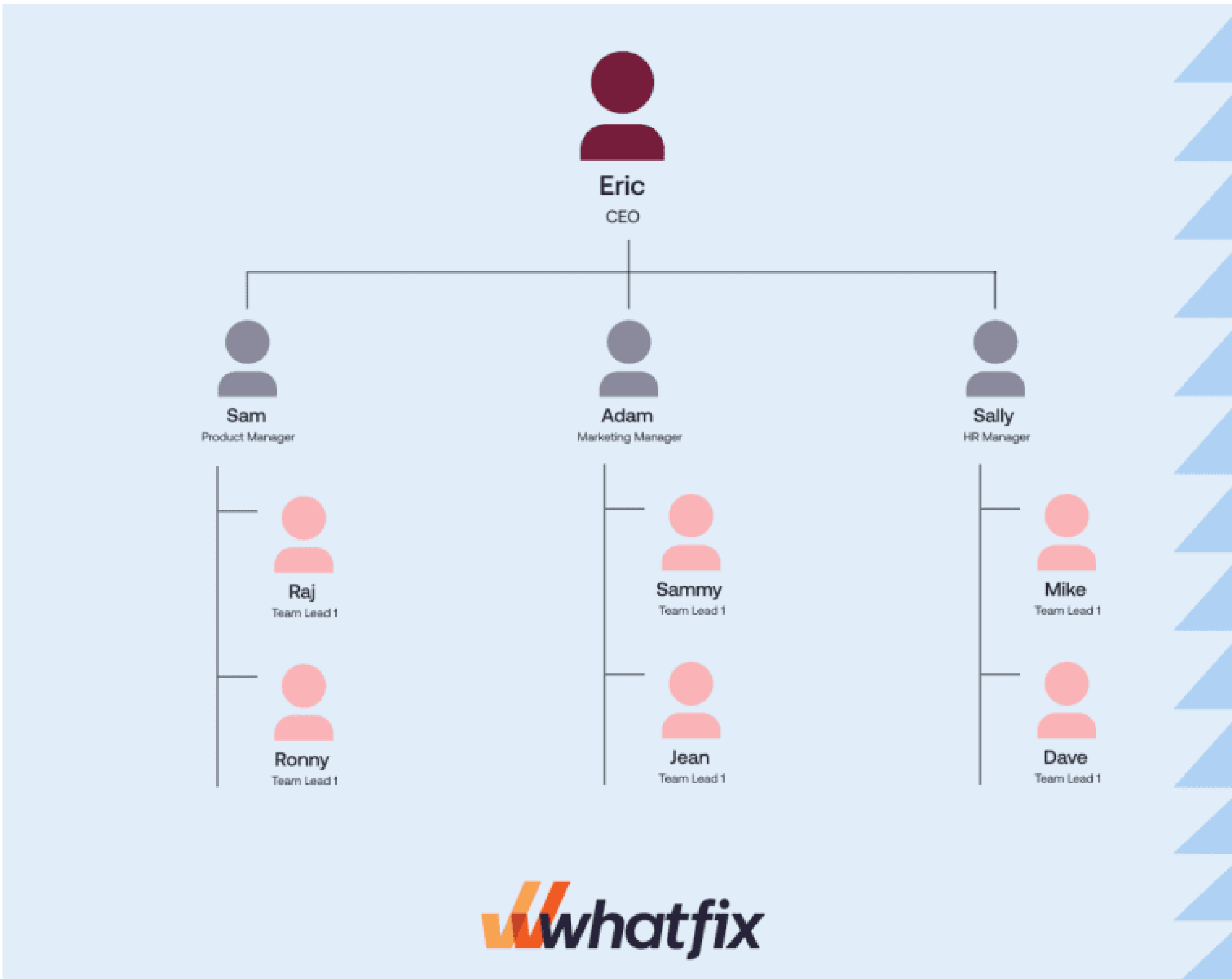
Pros of a matrix organizational structure:

- Flexibility to pull employees into more important projects at will.
- Empower employees to build and test skillsets outside of their pre-determined roles.
- Faster project deliverables.
- Provides a more dynamic view of the organization.

Cons of a matrix structure:

- This often leads to conflicts among leaders and project managers.
- Confusion on authority.
- Frequency of change leads to fatigue and resistance.

4. Team-based structure



- A team-based organizational structure creates small teams focusing on delivering one product or service – often via Scrum or tiger teams. These teams can solve problems and make decisions without bringing in third parties.
- Team members are responsible for managing their workload and have full control over the project. Team-based organizations are distinguished by little formalization and high flexibility. This structure works well for global organizations and manufacturers.

Best For: Companies prioritizing flexibility, innovation, and quick response to market changes, like tech startups or creative agencies, where collaboration and teamwork are essential.

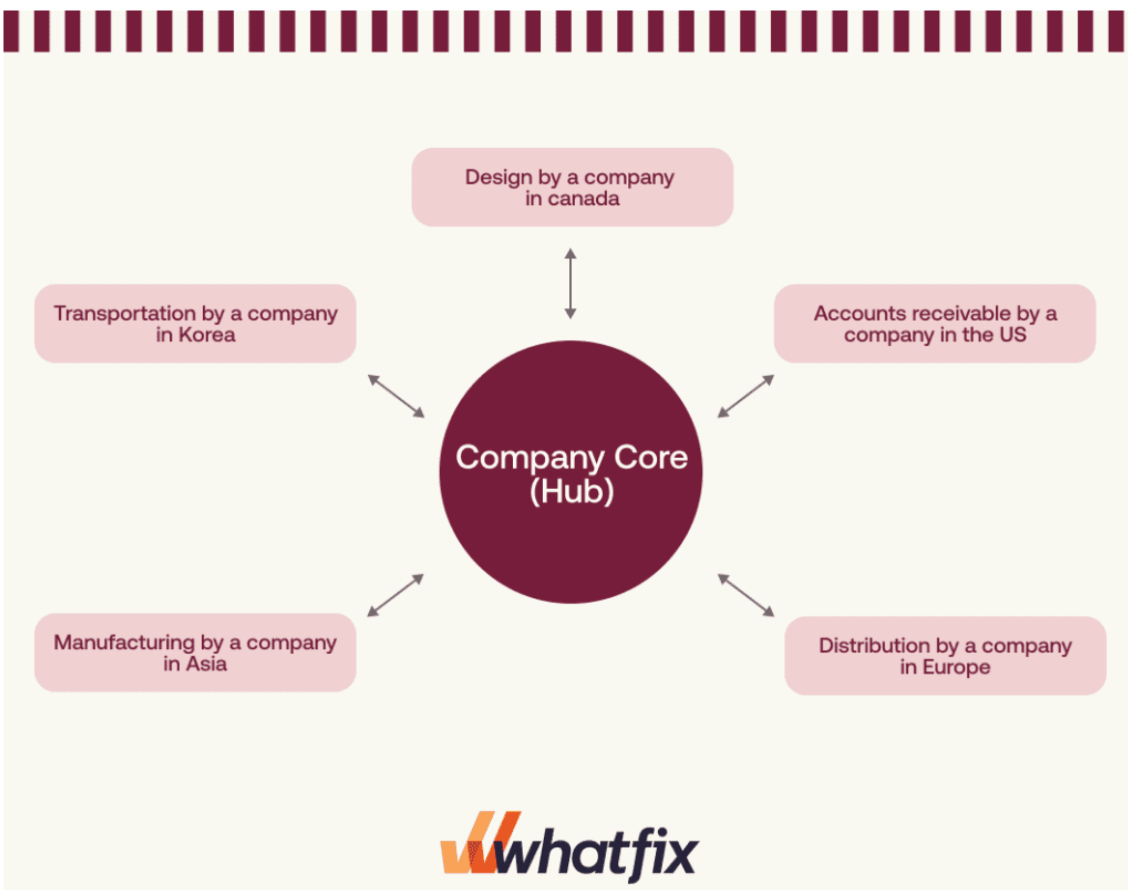
Pros of a team-based organizational structure:

- Drives growth and innovation.
- Promotes lateral career moves.
- Provides experiences across departments and teams.
- Experience is valued over seniority.
- Less emphasis on management.
- Encourages lateral moves.
- Is more agile and fits well with Scrum models.

Cons of a team-based structure:

- No clear authority.
- Career path growth is not clear.
- Not formalized.

5. Network structure



A network structure goes far beyond your internal company structure. It's the act of joining the efforts of two or more organizations to deliver one product or service. Typically, a network organization outsources independent contractors or vendors to complete the work.

In a network organization, teams are built from full-time employees as well as freelance specialists – this way, in-house workers can spend most of their time focusing on the work they specialize in. Such an approach allows companies to adapt to market changes and obtain the skills they need quickly.

Best For: Companies that outsource business functions and rely on external partners, like businesses with extensive supply chains and franchises, or companies that focus on core competencies while leveraging partnerships for other operations.

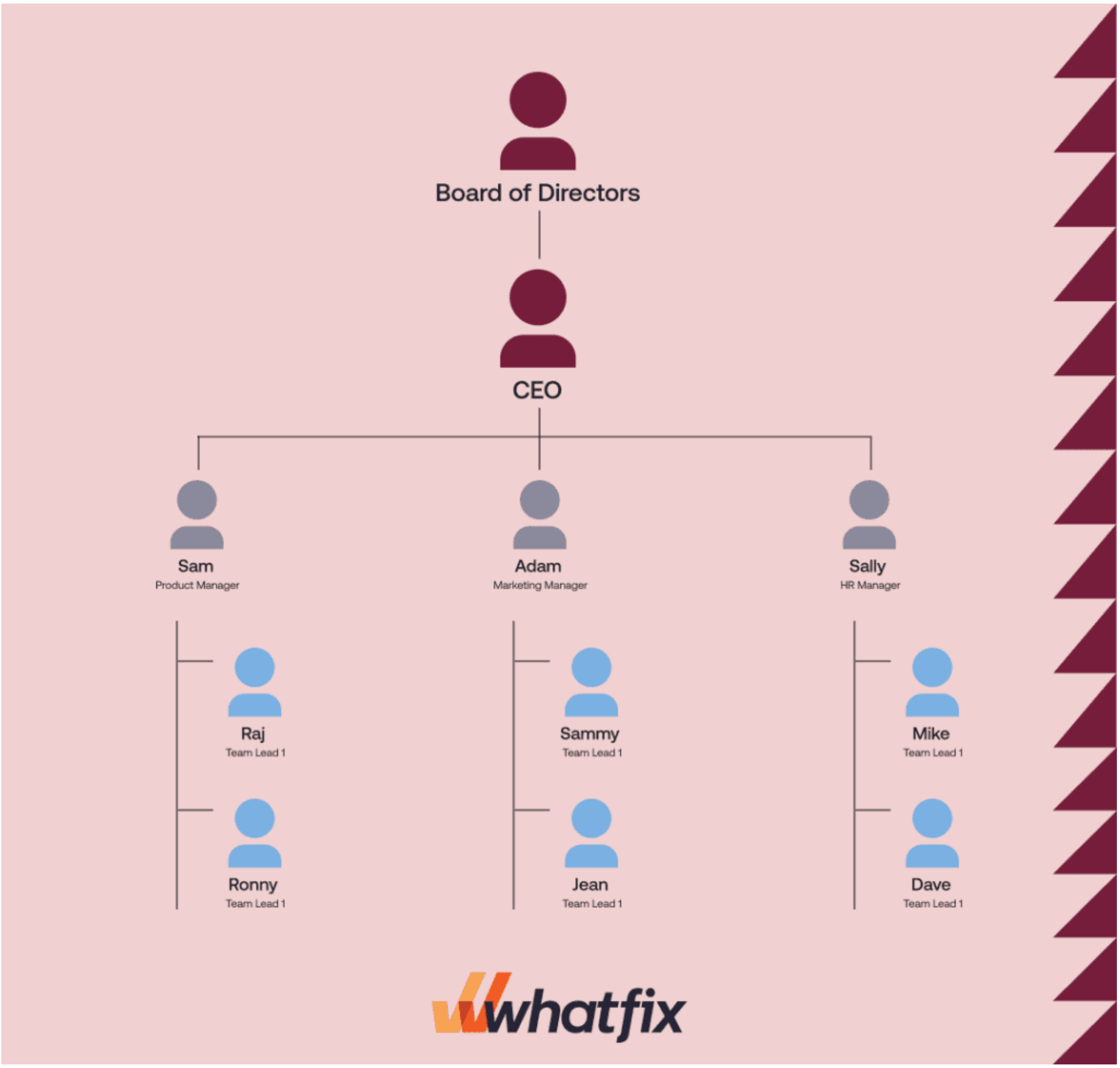
Pros of a network structure:

- Promotes organizational agility and flexibility.
- Fosters collaboration across employees.
- Breaks down silos.
- Cultivates better understanding of industry, products, and customers.
- Creates a web of work-related relationships.
- Creates highly specialized skills in employees.

Cons of a network structure:

- Extremely complex and convoluted.
- Lower formalization.
- High turnover.
- There is a feeling of inequality between full-time employees and contractors/freelancers.
- It's difficult to know who has final approval.

6. Hierarchical structure



A hierarchical structure is the most common type of organizational structure. This pyramid-shaped structure follows a direct chain of command from the top (the CEO) and flows down the org chart through individual teams and entry-level employees.

The chain of command goes from the C-suite to senior management to team leaders to lower-level employees. The highest-level executive (typically the CEO) has the most power and authority on the decision-making process.

Best For: Traditional, stable organizations with clear authority lines and a need for uniformity and control. Examples include government agencies, large corporations, or military organizations.

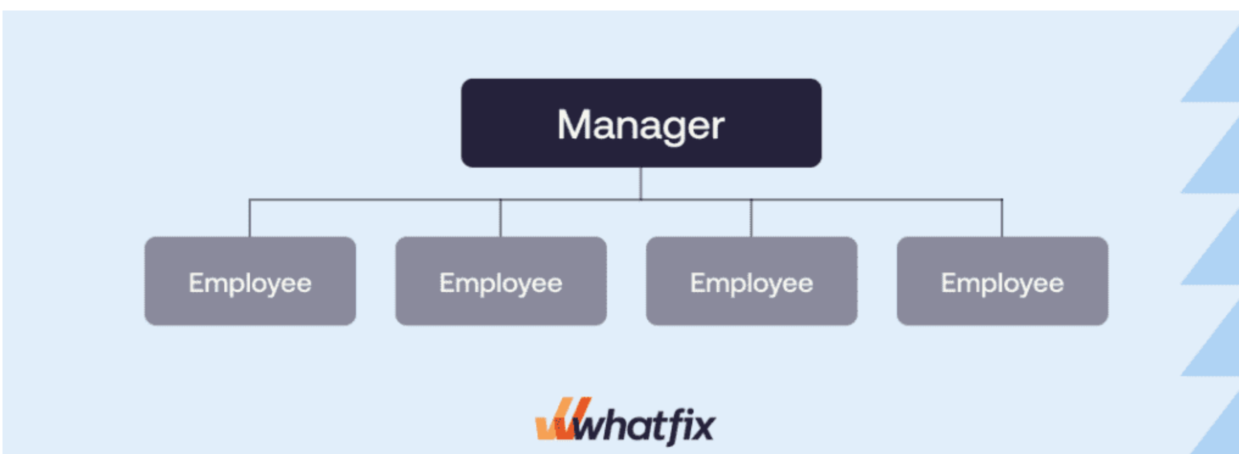
Pros of a hierarchal structure:

- Obvious chain-of-command.
- Clearly defined reporting structure and individual responsibilities.
- Sets clear career path growth.
- Builds niche skills and specialties.
- Departments and teams create a sense of "we're in this together".

Cons of a hierarchal structure:

- Bureaucracy, processes, and red-tape slow down innovation.
- More resistant to change.
- Employees focus on department goals and KPIs over what's most important for the company.
- Employees at the bottom of the org structure feel like they don't have an impact.
- Feeling that there is no place to challenge authority.

7. Flat organization structure



Due to its simple nature, a flat organization structure, also called a “flatarchy” or a horizontal structure, is typically used by small businesses and startups. Organizations often start with a flat structure and then transition to a different type of org structure late in their maturity.

In a flat organizational structure, there are few middle managers between employees and top managers. The structure requires less supervision, increases employee involvement, and boosts trust in the workplace.

Best for: Smaller companies and startups that require faster decision-making and a collaborative culture, accelerating innovation and flexibility.

Pros of a flat structure:

- More responsibility for employees.
- Open communication.
- Clear path of approval.
- Change and improvement implementation happen fast.
- Rewards adaptability, flexibility, and innovation.

Cons of a flat structure:

- Not scalable.
- Often leads to confusion, as employees lack a clear supervisor or manager.
- Relies on one person to be the decision-maker.
- Leads to employees with generalized skills with a lack of specializations.
- Difficult to maintain when organizations start to scale.

2.4 Emerging planning and organizing issues for ICT enterprises

Emerging planning and organizing issues include:

- Managing rapid technological change,
- navigating complex global environments,
- fostering agility in decision-making,
- addressing the rise of remote work,
- integrating artificial intelligence (AI) into planning processes,
- prioritizing sustainability and environmental impact,
- developing skills for a diverse workforce, and adapting to changing customer expectations, all while ensuring effective communication and
- collaboration across distributed teams.

Key aspects of these emerging issues:

- **Technological Disruption:**
  - Integrating new technologies like AI and machine learning into planning and decision-making processes.
  - Adapting to rapidly evolving technological landscapes that can significantly impact business models.
  - Managing the potential risks and opportunities associated with emerging technologies.
- **Global Complexity:**
  - Navigating diverse cultural contexts and legal environments when planning across multiple regions.
  - Managing geopolitical uncertainty and its impact on supply chains and operations.
  - Adapting to fluctuating market conditions and consumer behaviors across different countries.
- **Agile Work Environments:**
  - Fostering a culture of rapid adaptation and continuous improvement in planning and execution.
  - Empowering teams to make timely decisions and respond quickly to changing circumstances.
  - Implementing flexible work arrangements to accommodate remote work and distributed teams.

- **Human Capital Challenges:**
  - Developing talent management strategies to attract and retain employees with the necessary skills for the future workforce.
  - Addressing diversity, equity, and inclusion concerns in organizational structures and decision-making processes.
  - Upskilling and reskilling employees to stay current with evolving technologies and business needs.

- **Sustainability and Environmental Impact:**
  - Integrating environmental considerations into strategic planning and operations.
  - Developing sustainable business practices and measuring environmental impact.
  - Addressing stakeholder expectations related to corporate social responsibility.

- **Data-Driven Decision Making:**
  - Leveraging advanced analytics and data visualization tools to inform planning decisions.
  - Ensuring data quality and integrity for effective strategic planning.
  - Utilizing data to identify emerging trends and market opportunities.